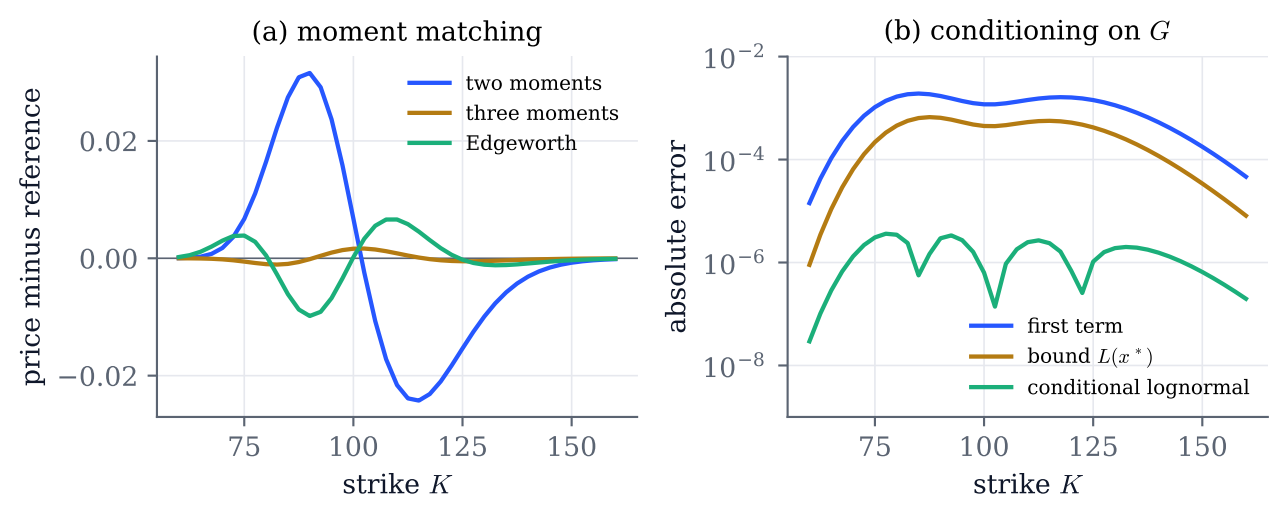
(a) moment matching
price minus reference
0.02
0.00
−0.02
two moments
three moments
Edgeworth
75
100
125
150
strike K
(b) conditioning on G
absolute error
10^{-2}
10^{-4}
10^{-6}
10^{-8}
first term
bound $L(x^*)$
conditional lognormal
75
100
125
150
strike K